

Counterintuitively, the most conservative of professions—the government employee or the tenured professor—which attract the most risk averse among us, are ideally the investors who should be taking on the greatest amount of investment risk, if only they looked at their entire personal balance sheet as opposed to just their liquid investment account.

In the next few chapters I continue the journey over the life cycle and discuss what happens when you have spent your human capital (that is, you are in retirement) and it's time to figure out how to allocate your financial capital. At that stage, your previous job classification is not as relevant as your pension entitlement and the security of your guaranteed sources of income. But first, let's talk about what things might cost in the future. The next chapter takes a look at inflation.

Summary

- There is nothing evil or wrong with debt. It is just another financial strategy. Moreover, debt for investment purposes makes perfect sense. Just ensure that the interest you are paying on your debt is less (on average) than the return you are earning on the borrowed funds.
- One of the implications of this chapter is that dying with debt might not be as odious as it sounds, as long as the personal equity on your balance sheet is positive. In other words, if your house is worth \$500,000 and you owe \$200,000, then your personal equity is positive. Net worth is what matters.
- When you borrow money to invest, you are increasing the chances of financial shocks. Make sure you can withstand these shocks and have the funds to cover the interest payments during turbulent times.
- Finally, if your human capital is more bond-like, for example, if you have a secure job with a predictable income stream, you might be overexposed to bonds and hence might be able to afford to borrow money to invest, even if you don't need the loan. In fact, the best loans are exactly the ones you don't need.